BREAKWAVE ADVISORS

Dry Bulk Shipping

Bi-Weekly Industry Report

August 19, 2025

- **August Blues Depress Volatility but Rates Hold Strong –** An **uneventful fortnight** in terms of cargo flow has reduced near-term activity, contributing to a **decline** in spot rate **volatility**. Nevertheless, **spot freight rates** for Capesizes remain at **historically high levels** for this time of year, a notable achievement given the current economic headwinds facing the dry bulk market. Contributing to the current strength are seasonal **rains** in West Africa that have been **weaker** than in prior years, while **iron ore exports** from Brazil have been **stronger** than historical norms. Additionally, a **heavy drydocking** schedule is constraining vessel supply to some extent. As a result, the environment appears conducive to **increasing volatility** in the months ahead despite the current apparent stability. We believe **September** could be a particularly strong month for Capesizes, given the current elevated spot market and the broadly upbeat industry sentiment which could enhance the **positive seasonality of the particular month**. The freight futures market indicates relatively flat rates for the remainder of the year; however, spot freight rates have a track record of rapidly moving outside of futures expectations as rate steadiness is rare. While the risk of a correction remains a consideration, the current **risk-reward balance** in the short term is **favorable**, supported by both seasonal patterns and underlying sector fundamentals that point to stronger spot rates.

- **Chinese Economy Continues to Struggle – Chinese economic data** for July came in **weaker** than expected. In the absence of additional stimulus, the risk of missing the 5% annual GDP growth target is now rising. The **real estate** sector continues to act as a major **drag** on the economy, while **consumer** spending remains **weak**, as indicated by softer-than-expected July retail sales. Industrial activity slowed further, and unemployment, particularly among younger workers, remains a concern. There is **little sign of imminent improvement** in overall activity absent additional government intervention. Although dry bulk shipping is currently at a relatively strong level, it is important to remember China's outsized influence on demand for key bulk commodities such as iron ore and coal. Prices for those two important commodities have once again reached the high end of the recent range but have failed to break out. We expect **iron ore** prices to revert and remain **under pressure** as new supply and tepid demand growth are structurally bearish factors for this market while shifts in Chinese demand could temper or reverse current strength in these markets as almost 2/3 of demand originates in that part of the world.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and a slower fleet growth owing to a relatively low orderbook.

Short-term Indicators	
Momentum:	Neutral
Sentiment:	Neutral
Fundamentals:	Neutral
Breakwave Dry Futures Index:	**2039**
30D: 9.9%	↑
YTD: 101.1%	↑
YOY: 3.4%	↑
Baltic Dry Index (spot):	**2044**
30D: -0.4%	↓
YTD: 105.0%	↑
YOY: 20.9%	↑

Reuters:	BDRY.K
Bloomberg:	BDRY US
Exchange:	NYSE

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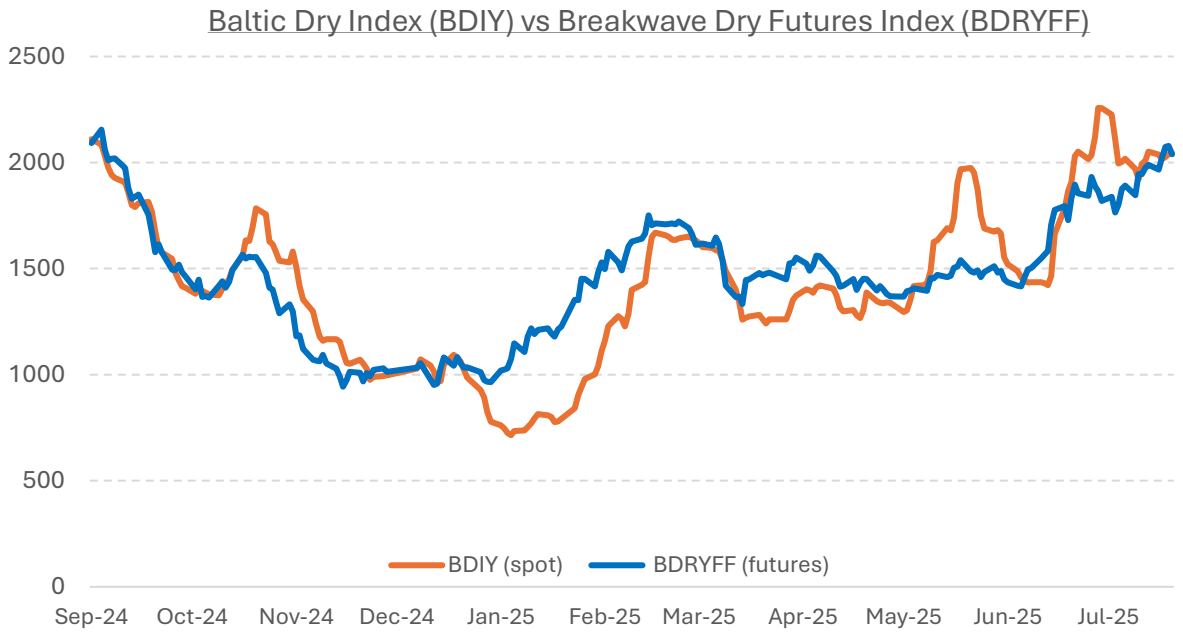

The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	YTD	YOY
China Steel Production	594mt	-3.14%
China Steel Inventories	4.1mt	-24.74%
China Iron Ore Inventories	131mt	-12.87%
China Iron Ore Imports	697mt	-2.42%
China Coal Imports	257mt	-12.99%
China Soybean Imports	61mt	4.64%
Brazil Iron Ore Exports	186mt	3.74%
Australia Iron Ore Exports	448mt	-1.39%

Supply		
Dry Bulk Fleet	1050 mdwt	2.9%

Freight Rates		
Baltic Dry Index, Average	1,417	-22.9%
Capesize Spot Rates, Average	17,470	-25.8%
Panamax Spot rates, Average	10,382	-27.7%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

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